

Financial accounting	Income statements	• explain what is meant by and contained within an income statement • calculate, interpret and analyse measures of profit: gross profit, operating profit, net profit • complete, interpret and analyse an income statement • evaluate the usefulness of income statements for a business and its stakeholders.
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Area of Study	Content	Learners should be able to:
Financial accounting	Statement of financial position	• explain what is meant by and contained within a statement of financial position • complete, interpret and analyse a statement of financial position • evaluate how assets may be valued: non-current assets, investments, patents, goodwill, receivables, bad debts, inventories • evaluate the usefulness of a statement of financial position for a business and its stakeholders of a business.
	Ratio analysis	• calculate and interpret liquidity ratios: current ratio and acid test • calculate and interpret profitability ratios: gross profit margin, net profit margin, return on capital employed (ROCE) and return on equity • evaluate the financial position of a business • evaluate the usefulness of ratio analysis to a business and its stakeholders.